

INTEGRATED STAKEHOLDER ENGAGEMENT

<IR 3C>

| GRI: 2-23, 2-24, 2-29 |



Our purpose centres on people, and we recognise that effective stakeholder engagement is fundamental to our success. Our stakeholder-centric approach creates value by understanding and responding to stakeholder needs, building long-term partnerships, measuring relationship effectiveness, and taking targeted action to drive positive, long-term sustainable impact.

Our Stakeholder Engagement Initiatives Seek to:

- Proactively unlock growth
- Respond to stakeholder issues
- Demonstrate good governance
- Display leadership and foresight as a good corporate citizen

1. GOVERNANCE AND MANAGEMENT OF STAKEHOLDER RELATIONSHIPS

The ultimate responsibility for our stakeholder engagement rests with the Board, guided by the Board Sustainability Committee (BSC) and the Sustainability Management Committee (SMC). While engagement activities are decentralised and conducted by our operational clusters and business areas, the Corporate Sustainability Department oversees day-to-day relationship management. Furthermore, the Stakeholder Forum ensures consistent application of our Stakeholder Engagement Policy across the entire Company.



Engagement Objectives

Our engagement objectives form the foundation for building meaningful relationships with stakeholders, fostering transparency, and driving mutual benefits.

- To enhance stakeholder trust through transparent communication
- To align stakeholder expectations with LBF's goals
- To ensure active participation in sustainability and business growth initiatives
- To address concerns and feedback proactively for continuous improvement
- To strengthen partnerships that contribute to long-term value creation

Stakeholder Identification

Identifying stakeholders ensure that all relevant groups are considered in decision-making and project execution processes.



Customers

End-users of our financial products and services



Shareholders

Our investors and equity partners seeking sustainable financial returns and long-term value creation, driven by our performance and governance



Employees

Our dedicated team whose expertise and commitment drive operational excellence and innovation



Regulators

Government and supervisory entities defining the framework within which we operate responsibly and ethically



Business Partners/Suppliers

Valued entities integral to our supply chain and ability to deliver exceptional products and services



Society/Communities

The local and broader societies where we operate, impacted by our social and environmental initiatives



For more information on

- Basic Characteristics for Stakeholder Engagement
- Checklist for Monitoring and Evaluation of Stakeholders
- Reporting Feedback to Stakeholders
- Critical Success Factors for Meaningful Stakeholder Engagement

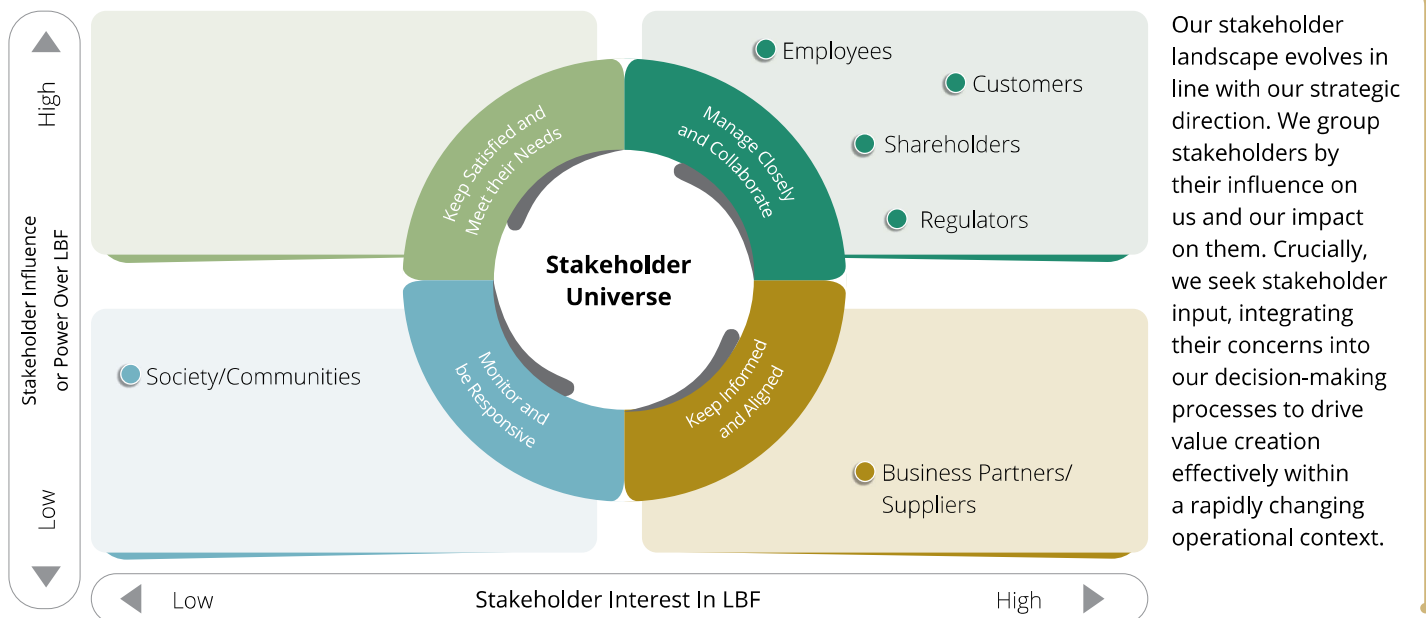


Visit the Stakeholder Management Framework on the LBF sustainability site

INTEGRATED STAKEHOLDER ENGAGEMENT

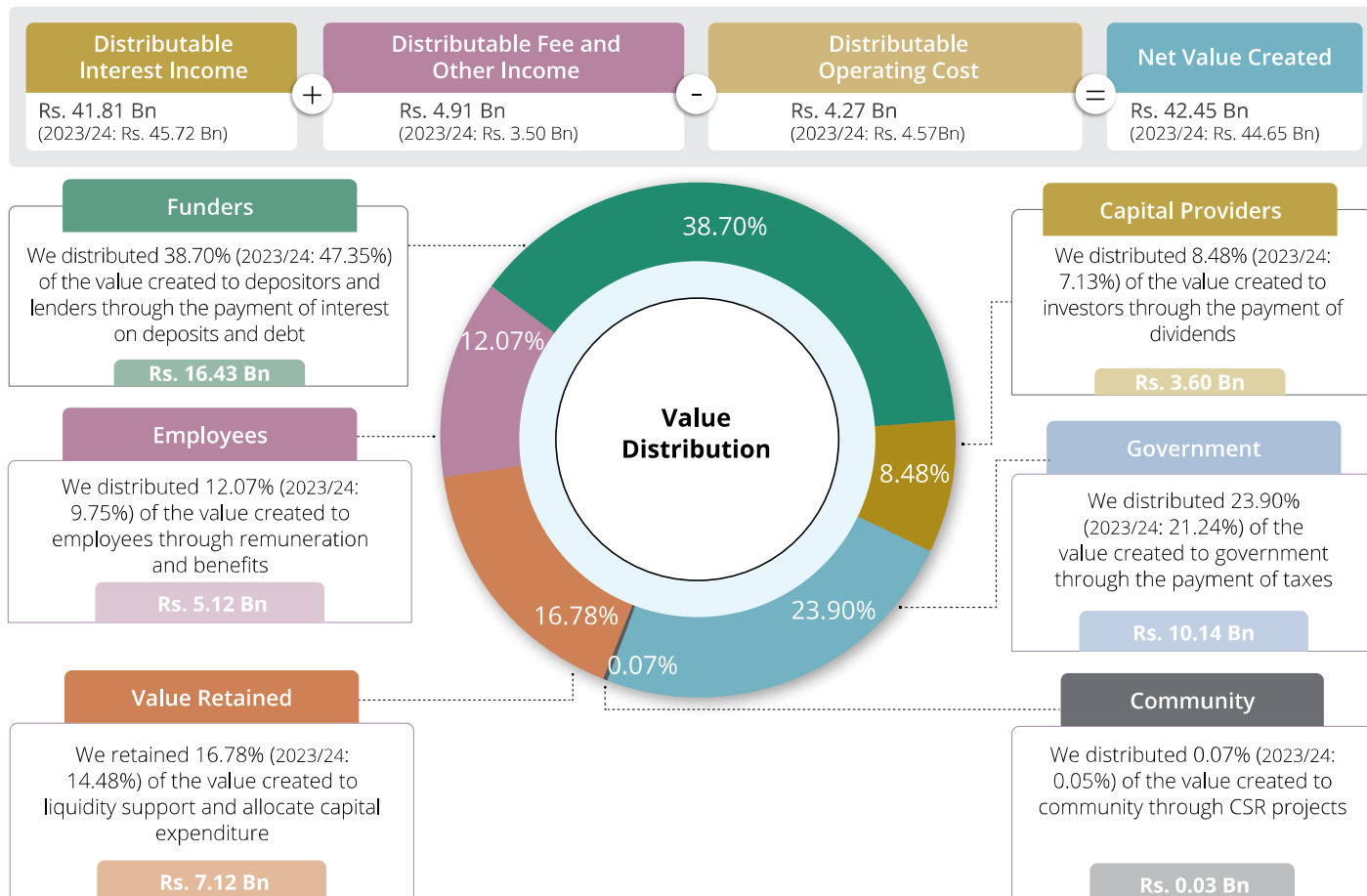
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2. ANALYSIS OF OUR STAKEHOLDERS



3. VALUE CREATION FOR STAKEHOLDERS

Stakeholder engagement is fundamental to our social and financial value creation, serving as a critical input to our strategy and a valuable outcome. Our value-added statement clearly illustrates how we generate and distribute financial value to our stakeholders through this approach.



4. STAKEHOLDER ENGAGEMENT CANVASS



CUSTOMERS

887,333
Individual
Customers

1,104
Corporate
Customers



GOAL: Customer at the Centre of the Business

Quality of Relationship

Falling Short

Performing

Excelling

Level of Engagement: **Involve**

Related Capital

Related Material Themes

Related Strategy

Affected UN SDGs

MC **SRC**

MT 2 **MT 5**

S 2 **S 3**

8 **9** **11** **17**

Key Concerns

- S1.** Access to financial services
- S2.** Customer security and privacy
- S3.** Operationalising of guidelines and directives
- S4.** Financial support for revival of business
- S5.** Customer satisfaction and grievance handling

Our Response

- Expanding inclusive financial accessibility – Product portfolio (page 222)
- Strengthening data protection measures – Intellectual Capital (page 172)
- Implementing corporate governance practices (pages 246 to 281)
- Assisting businesses with sustainable plans – Business Review (pages 222 to 240)
- Social and Relationship Capital (Page 184)

Method of Engagement

- Emails **AR**
- Corporate website **C**
- Propaganda vehicle **C**
- Product and service brochures **AR**
- Product launches **AR**
- Market surveys **A**
- Call centre **C**
- Customer visits **AR**
- Social media platforms **C**

Contribution to Value Creation

LBF has diverse customers, including individuals, corporates and SME/MSME in Sri Lanka and Myanmar. Delivering an excellent customer value proposition to all these customers serves as the basis for the value generated by the Company and shared with other stakeholders

Risk Identification and Mitigation

- Competitive pressure among mainstream financial service providers
- Awareness of data security and privacy

Opportunities Identified

- Creating differentiation through multiple product propositions combined with an omnichannel environment
- Data-driven solutions to enhance the overall customer experience

Short-Term

Enhancing digital financial access via secure mobile banking solutions, underpinned by robust customer data protection and cyber security measures.

Medium-Term

Ensuring regulatory compliance by embedding new directives into digital operations, while simultaneously enhancing customer grievance handling and service response times.

Long-Term

Leveraging AI to develop innovative financial services that enhance accessibility while ensuring robust, long-term customer security.

AR As Required **C** Continuous **A** Annually **M** Monthly **Q** Quarterly

INTEGRATED STAKEHOLDER ENGAGEMENT



SHAREHOLDERS



GOAL: Sustained Growth and Wealth Maximisation



Quality of Relationship

Falling Short

Performing

Excelling

Level of Engagement: Consult

Related Capital

FC SRC

Related Material Themes

MT 1 MT 2

Related Strategy

S 1 S 3 S 6

Affected UN SDGs

8 9 12

Key Concerns

- S6.** Sustainable growth
- S7.** Delivering sustainable returns
- S8.** Business risk management
- S9.** Transparency and accountability
- S10.** Sustainability adaptation

Our Response

- Strengthening long-term business stability - Financial Capital (page 124)
- Offering incremental growth in shareholder returns - Financial Capital (page 124)
- Integrated Risk Management (pages 311 to 346)
- Implementing corporate governance practices (pages 246 to 281)
- Adopting sustainability guidelines/framework for business (page 98)

Method of Engagement

- Annual reports and AGMs/EGMs **A** **AR**
- Financial results **A** **Q**
- CSE announcements **AR**
- General correspondence **AR**
- Press releases **AR**
- Corporate website **C**
- Feedback surveys **AR**

Contribution to Value Creation

As the providers of capital, shareholder funds support, the day-to-day operations and fuel the Company's business plans

Risk Identification and Mitigation

- Lack of investor confidence due to market vulnerabilities in the NBFI sector
- Policies and demonstration of responsible business conduct

Opportunities Identification

Ability to leverage our financial strength to raise the necessary capital and funding at the best possible rates

Short-Term

Enhance digital financial services and improve customer experience through innovative platforms such as the LB CIM app, ensuring business stability and accessibility.

Medium-Term

Enhance operational efficiency and service delivery by integrating digital tools, simplifying processes, and expanding fintech collaborations.

Long-Term

Foster sustainable growth and innovation through customised hybrid financial models and strategic fintech partnerships, all underpinned by our commitment to responsible corporate citizenship.



EMPLOYEES



GOAL: Career Progress and Best Place to Work

Quality of Relationship

Falling Short

Performing

Excelling

Level of Engagement: Collaborate

4,407
Total
Employees

2,317
Male

2,090
Female

40
Senior
Management

Related Capital

HC MC

Related Material Themes

MT 1 MT 2

Related Strategy

S 1 S 5

Affected UN SDGs

5 10 16

Key Concerns

- S11.** Attractive benefit structure
- S12.** Training and skill, competency development
- S13.** Reward and recognition
- S14.** Diversity and equal opportunities
- S15.** Employee engagement

Our Response

- Providing financial and non-financial benefit plans (page 158)
- Nurturing customer-friendly and tech-savvy employees (page 162)
- Establishing the “Pinnacle Club” to recognise high performers (pages 158)
- Contributing to gender parity (page 159)
- Building an employee engagement culture (page 164)

Method of Engagement

- Staff meetings **AR**
- Performance appraisal **A**
- Social media platforms **C**
- E-publications **M**
- Notifications **AR**
- Emails **AR**
- Training programmes and workshops **AR**
- Post-training feedback **AR**
- One-on-one engagement **C**
- Focus group sessions **AR**

Contribution to Value Creation

Our employees provide the skills, experience, diversity, and productivity needed to operate our facilities efficiently and safely

Risk Identification and Mitigation

- Health and safety issues
- Employee engagement, health and wellness programmes

Opportunities Identification

- Digital-first organisation
- Modernised work systems

Short-Term

Building workforce capabilities for digital transformation through targeted, hands-on training in fintech, regulatory compliance, and cybersecurity, ensuring our team aligns with the evolving business model

Medium-Term

Building an agile and inclusive work culture through targeted employee wellness programmes, performance-based career progression, and leadership development to enhance adaptability to industry changes.

Long-Term

Developing a future-ready workforce by integrating AI-driven HR tools, creating/enhancing sustainability-focused roles, and aligning workforce strategies with global financial industry trends.

AR As Required
 C Continuous
 A Annually
 M Monthly
 Q Quarterly

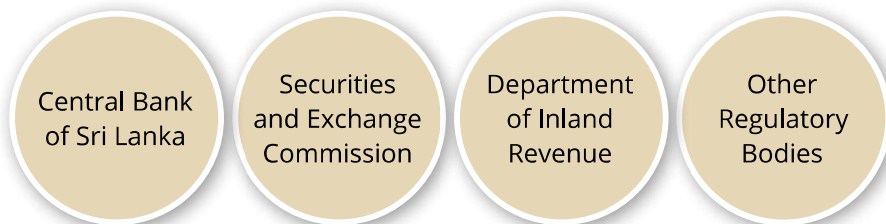
INTEGRATED STAKEHOLDER ENGAGEMENT



REGULATORS



GOAL: Full Statutory Compliance



Quality of Relationship

Falling Short Performing **Excelling**

Level of Engagement: **Involve**

Related Capital

Related Material Themes

Related Strategy

Affected UN SDGs

FC **SRC**

MT 1 **MT 3**

S 1 **S 4** **S 6**

8 **9** **11** **16**

Key Concerns

- S16.** Stability of the financial system
- S17.** Compliance with applicable laws and regulations
- S18.** Migration to cashless payment platforms

Our Response

- Engaging in sustainable and ethical business practices – Financial Capital (page 124)
- Compliance with compulsory and voluntary guidelines, laws, and regulations – Corporate Governance (page 246)
- Increasing digital transactions through the LB CIM app – Intellectual Capital (page 172)

Method of Engagement

- Meetings **AR**
- Directives and circulars **AR**
- Telephone discussions **AR**
- On-site and off-site examinations **AR**
- Periodic or thematic assessments **AR**
- Participation in forums **AR**

Contribution to Value Creation

Government and regulators provide the regulatory and policy framework that is critical to value creation. Through legislation and policy, they inform us what we can do, how we can do it, and where we can operate

Risk Identification and Mitigation

- Increasingly strict rules and Regulations governing the NBFI sector
- Awareness generation on the mandates by the Government of Sri Lanka

Opportunities Identification

Active participation and contribution to industry and regulatory working groups

Short-Term

Enhance regulatory compliance through real-time reporting, transparent financial disclosures, and robust Anti-Money Laundering (AML) protocols, directly supporting national financial stability goals.

Medium-Term

Ensure ongoing alignment with evolving financial regulations by proactively adapting operations, integrating new directives, and improving data-driven regulatory reporting.

Long-Term

Foster a sustainable financial ecosystem by collaborating on green finance initiatives, championing/adopting ESG-aligned regulations, and contributing to policy reforms that enhance financial resilience.



BUSINESS PARTNERS



GOAL: Foster Mutual Success and Long-term Collaboration

19,000+
Business
Partners/
Suppliers

Quality of Relationship

Falling Short

Performing

Excelling

Level of Engagement: **Involve**

Related Capital

Related Material Themes

Related Strategy

Affected UN SDGs

SRC MC

MT 1

MT 2

S 1

9

17

Key Concerns

- S19.** Continued business opportunities
- S20.** Timely settlement
- S21.** Collaboration for new technological and digital advances in the financial sector

Our Response

- Making timely payments upon delivery
- Continuous engagement
- Clear communication of policies and procedures
- Business Partner Capital (Page 199)

Method of Engagement

- Field visits **AR**
- Service agreements **AR**
- Supplier appraisal **AR**
- Meetings **AR**

Contribution to Value Creation

Ensuring positive business partner relationships, based on mutual respect, enables us to deliver our customer value proposition efficiently and effectively

Risk Identification and Mitigation

- Lack of supplier diversity may lead to a breakdown in the supply chain
- Ensure timely payment for services

Opportunities Identification

Promote local suppliers

Short-Term

Enhancing ethical procurement standards by ensuring suppliers comply with regulatory guidelines, digital integration, and transparent sourcing practices to build responsible partnerships.

Medium-Term

Strengthening supplier collaboration through technology-driven partnerships, fostering supply chain resilience, and promoting ESG-aligned vendor selection to support sustainable business growth.

Long-Term

Building a future-proof, sustainable supply ecosystem by integrating green supply chain policies, digital financial solutions for vendors, and long-term strategic alliances that drive mutual success.



As Required



Continuous



Annually



Monthly



Quarterly

INTEGRATED STAKEHOLDER ENGAGEMENT



SOCIETY AND ENVIRONMENT



GOAL: Empowering Community and Nurture the Nature



Quality of Relationship



Level of Engagement: **Involve**

Related Capital

SRC **NC**

Related Material Themes

MT 1 **MT 4**

Related Strategy

S 4

Affected UN SDGs



Key Concerns

- S22.** Responsible financing
- S23.** Community engagements
- S24.** Environmental stewardship

Our Response

- Financial inclusion and empowering society and communities (page 33, 36)
- Launching CSR and sustainability projects with strategic partnerships (page 202)
- Reducing the adverse impact on the environment and introducing climate targets (page 221)

Method of Engagement

- Individual engagements **AR**
- Press publication **AR**
- Corporate website **C**
- Social media **C**
- Public events **AR**

Contribution to Value Creation

These stakeholders play a key role in holding us accountable to our commitment to positively impacting the environment and people's lives. Through these relationships, we can identify areas of need and focus our efforts on supporting the communities we work with

Risk Identification and Mitigation

- Climate change, health, and safety of communities
- Holistic rural development programmes and climate resilience actions

Opportunities Identification

- Job creation
- Local economic growth
- Reduction of emissions

Short-Term

Increasing community access to financial solutions and knowledge through expanded literacy and inclusion programmes, while demonstrating environmental responsibility by initiating carbon footprint reduction in our daily operations.

Medium-Term

Investing in green finance and community-driven initiatives, such as sustainable lending practices, renewable energy financing, and CSR projects that address social and environmental challenges.

Long-Term

Leading the sustainable finance transition by embedding ESG principles across all financial services, championing climate-conscious financing, and building long-term environmental resilience.

5. VALUE CREATION STAKEHOLDER SCORECARD – SIX CAPITAL VIEW

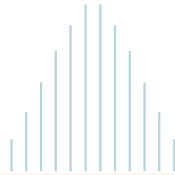
Capitals	Stakeholders	Key Indicators of Capital Management	Unit	Outcome on the Capital	
				2024/25	2023/24
 Financial Capital	- Shareholders - Lenders - Employees	• Income growth	%	-5	15
		• Profit after tax growth	%	13	13
		• Assets growth	%	19	11
		• Market price per share*	Rs.	86.50	62.80
		• Dividend yield	%	7.51	9.16
		• Market capitalisation	Rs. Mn	47,926	34,795
		• Dividend per share	Rs.	6.50	5.75
 Manufactured Capital	- Shareholders - Employees	• Branches	Number	216	200
		• Profit per outlet	Rs. Mn	50.02	47.81
		• Income per outlet	Rs. Mn	216.34	246.15
		• Freehold land and building addition	Rs. Mn	261.01	88.33
 Human Capital	Employees	• Investment in training and development	Rs. Mn	21.70	23.22
		• No. of promotions		1,145	1,037
		• Remuneration and benefits paid	Rs. Mn	4,902.96	4,095.93
 Intellectual Capital	Customers	• Investment in software development	Rs. Mn	58.87	6.48
		• Re-certification of 27001:2022		Done	Done
		• Investment in IT	Rs. Mn	273.44	279.25
 Social and Relationship Capital	- Employees - Regulators - Society/ Communities	• Projects to uplift the communities well-being	Number	27	21
		• Taxes paid to government	Rs. Bn	12.65	11.41
		• Corporate social investment	Rs. Mn	27.35	20.00
		• Economic value distributed	Rs. Mn	46,730	49,230
 Natural Capital	- Society/ Communities - Employees	• No. of trees planted at present (50 to 50,000 tree planting programme)	Number	375	8,200
		• Paper recycled	kg	52,604	20,109
		• Energy consumption	GJ	55,714.08	16,852.95
		• Carbon footprint	tCO ₂ e	36,934.07	3,982.90

*Price per share represents the share price after the share sub-division.

INTEGRATED STAKEHOLDER ENGAGEMENT

6. VALUE CREATION SCORECARD - STAKEHOLDER VIEW

The table below demonstrates how LBF's integrated strategy is generating positive outcomes for the Company through its holistic efforts to create stakeholder value.

	Value for the Stakeholder	Value for the Company	Indicator
CUSTOMERS	 - Innovative, efficient, cost-effective financial solutions that meet customers' needs - Improved access to markets and financial services including access to information and advice - A safe and trustworthy financial services provider	 - More satisfied customers - Enhances LBF's reputation as a trusted financial services institution - Increased customer loyalty - Higher revenue from existing and new customers	- Growth in customer base (%) - Complaints solved (%) - No. of financial solutions offered - LB CIM app downloads
EMPLOYEES	- A robust and challenging work environment where all employees can achieve their full potential - Culture that rewards for high performances - Self-led development and opportunities for career progression	- Highly motivated and engaged workforce as a key competitive advantage - A dynamic and experienced talent pool equipped to meet current and future needs of the Company	- Employee voluntarism (hours) - Total headcount broken down by: - Full time - Contract - Female - Male - Investment in training (Rs. Mn)
SOCIETY	- Support for economic growth - Increased access to, and funding for, education opportunities - Lower environmental footprint	- Access to new markets - Confirms LBF's status quo as a responsible corporate steward	- Total energy used (GJ) - Carbon emissions (tCO₂) - No. of CSR projects - Investment in CSR (Rs. Mn) - No. of trees planted at present (50 to 50,000 tree planting programme)
SHAREHOLDERS	- Sustainable return on investment through attractive dividends - Increased earning potential due to the upward movements in the share price	- Strong capital base to fuel growth - Public trust in the brand	- Return on equity (%) - Return on assets (%) - Debt to equity (Times) - Cost-to-income ratio (%)
REGULATORS AND BUSINESS PARTNERS	- Fair and ethical engagement when dealing with the Company - Contribution towards the overall stability of the country's financial system	- Sound corporate values, high ethical standards, market integrity and good conduct practices - Sustainable operations	- Employees completing no. of trainings on compliance - Fine or charge against non-compliance

Outcomes

2025/24	2024/23
6.8	6.4
89	95
34	33
200,000+	100,000+
7,552	7,132
4,391	4,052
16	80
2090	1895
2317	2237
21.70	23.22
55,714.08	16,852.95
36,934.07	3,982.90
27	21
27.35	20.00
375	8,200
22.77	23.40
4.88	4.97
3.53	3.44
32.58	31.13
5	5
None	None

Managing the Outcomes

- Ongoing work to stem customer losses; redefine the customer profile and gain trust and confidence
- Driving innovation and articulation of a digital strategy to reshape the Company

- Culture reset
- Delivering a target culture and new corporate values
- Implementation of multiple engagement forums
- Focus on employee turnover

- Ongoing stakeholder engagements informed by a revised Company policy and engagement framework
- Continuous improvement of corporate governance, compliance and risk management practices
- Establishment of a Company-wide sustainability programme

- New strategy and medium-term performance targets alongside a focused separation programme
- Amended remuneration approach to address shareholder concerns

- Continued engagement with regulators across Sri Lanka and Myanmar with a focus on the separation
- Ongoing engagement/contribution to legislative developments